Southerly Economics

Independent research

Western Sydney Apartment Market

Parramatta, Westmead, Rhodes and Auburn: sales, settlement risk, rents, build-to-rent yields a

Prepared for Quillwood Credit Partners

Southerly Economics, Property Research

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Synthetic - for demonstration. All names, entities and figures are fictional.

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Document details

1. Executive summary

This report reviews the apartment markets of four Western Sydney centres that account for most of the region's pipeline of new high-density stock: Parramatta, Westmead, Rhodes and Auburn. It is written for a private credit lender that finances construction and residual stock loans against off-the-plan projects, and it concentrates on the variables that drive repayment: sales velocity, the risk that pre-sold apartments fail to settle at contract price, rental conditions and the emerging build-to-rent (BTR) exit.

The market is recovering, but unevenly. Sales rates have improved for four consecutive quarters, rents are rising quickly and investors are paying fair prices for stabilised BTR assets. Against this, a meaningful share of buyers who contracted at earlier prices are now facing bank valuations below their contract price, and the volume of stock due to complete over the next 18 months is large relative to recent absorption.

- Off-the-plan sales across the four suburbs averaged 4.2 sales per live project per month in the June 2026 quarter, up from 3.3 in the September 2025 quarter. Parramatta (4.6) and Rhodes (4.4) lead; Westmead (3.2) and Auburn (3.4) lag.
- At settlement, 33% of the 1,460 sampled valuations came in below contract price. Where a shortfall occurred, the average was 4.2% of contract price. Auburn (5.0%) and Westmead (4.6%) are the weakest.
- A 4.2% shortfall leaves a buyer borrowing at 80% of valuation about 3.4% of contract price short of the funds they expected to need. On an A$850,000 apartment that is roughly A$28,600 of unplanned cash.
- Rents on two-bedroom apartments rose 6.8% over the year to June 2026, with vacancy between 1.2% and 1.6%. Rental growth supports investor demand and BTR values but does not offset a valuation gap at settlement.
- Net initial yields on stabilised BTR assets sit between 4.6% and 5.0%, with Parramatta the tightest and Auburn the widest.
- The pipeline of approved and under construction apartments totals 9,800, of which 4,100 are under construction. About 15% of the pipeline is planned as BTR.
- Our central view is that settlement risk, not sales risk, is the main credit issue for loans with completions in the second half of 2026 and through 2027.

2. Scope, data and method

The four suburbs were selected because they hold the largest concentration of current and planned apartment supply in Western Sydney and because each has a distinct buyer and tenant base. Parramatta is the regional CBD with strong employment and transport access. Westmead is a health and education precinct anchored by the hospital and university campuses. Rhodes is a peninsula precinct with a rail station and a mature, owner-occupier and investor mix. Auburn is the most affordable of the four and relies more heavily on local and investor buyers.

Data used in this report comes from four sources. Sales rates are drawn from developer and agent returns on 74 live off-the-plan projects. Settlement outcomes are drawn from valuation records for 1,460 settlements between July 2025 and June 2026 supplied by participating mortgage managers and brokers. Rents and vacancy are drawn from lodged bond data and listing data. Pipeline figures are drawn from planning approvals, construction certificates and our own site inspections. Yields are based on seven stabilised BTR and institutional apartment block transactions and valuations since January 2025, which is a small sample, and we treat the yield range as indicative rather than precise.

Where we quote a combined figure for the four suburbs, it is weighted by the relevant sample or pipeline size, and we state the weighting. Percentages are rounded to one decimal place. Prices are in Australian dollars and include GST where relevant to the buyer.

3. Market overview

Western Sydney apartments sold into a difficult period from 2023 to early 2025. Higher construction costs, tighter bank lending to buyers and slow investor demand reduced launches, and several projects were deferred or repriced. Since mid 2025 conditions have improved. Rental growth has restored investor confidence, owner-occupiers priced out of detached housing have returned to the apartment market, and first home buyer incentives have lifted demand for lower-priced stock, particularly in Auburn and Westmead.

The recovery has not been uniform by price point. Apartments priced below A$900,000 are selling at a faster rate than those above A$1.1 million, and projects that launched with early-release discounts or fee incentives are absorbing stock more quickly than those holding list prices. Developers have generally held prices flat in nominal terms over the past 12 months while construction costs have continued to rise, which has compressed margins and pushed some sponsors towards BTR or bulk sales to institutions as an alternative exit.

The four suburbs now carry more completions than the market has absorbed in any recent two-year period. This is the central tension in the market: demand indicators are improving, but a large volume of stock contracted in 2022 to 2024 is approaching settlement at a time when bank valuers are cautious about comparable evidence.

4. Off-the-plan sales rates

4.1 Current sales velocity

Across the 74 live projects, the pipeline-weighted average sales rate in the June 2026 quarter was 4.2 sales per project per month. This is the strongest result since the December 2023 quarter, though it remains below the 6 to 7 sales per month that were typical in the 2017 to 2018 peak. Table 1 sets out the position by suburb.

Suburb	Median 2-bed price	Sales per project per month	Average pre-sales at construction start
Parramatta	A$915,000	4.6	78%
Westmead	A$840,000	3.2	71%
Rhodes	A$925,000	4.4	76%
Auburn	A$770,000	3.4	69%

Table 1: Off-the-plan pricing, sales rates and pre-sales by suburb, June 2026 quarter

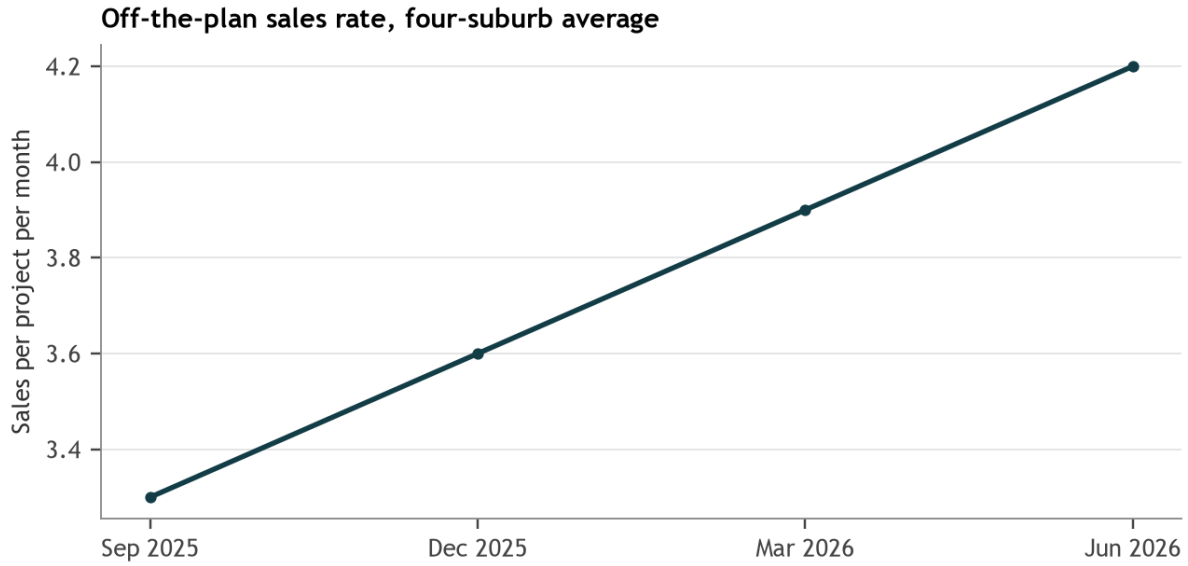


Figure 1: Pipeline-weighted sales rate, September 2025 to June 2026 quarters. Source: Southerly Economics, developer and agent returns.

4.2 Drivers and quality of demand

Parramatta and Rhodes are performing best because they combine proximity to rail and employment with a deeper pool of owner-occupier buyers. In Parramatta, we estimate that owner-occupiers account for about 48% of recent off-the-plan contracts, with the balance being domestic investors and a small share of overseas purchasers. In Auburn the investor share is higher, which makes sales more sensitive to bank valuations and investor lending standards.

Westmead's lower sales rate reflects a thinner buyer base and a concentration of stock aimed at hospital and university workers, many of whom prefer to rent. Projects there have relied on staged releases and on bulk or key worker sales to maintain momentum. Lenders should regard pre-sale levels in Westmead and Auburn with some caution, because a higher share of contracts in those suburbs are at the lower end of the price range and are held by buyers with limited equity buffers.

4.3 What a good sales result looks like

A project selling at or above four contracts per month, with pre-sales of at least 75% of debt-service cover at construction start and less than 10% of contracts discounted by more than 5% from list, is performing in line with the stronger part of the market. Projects falling short of these thresholds are not necessarily in distress, but they are more likely to carry unsold stock at practical completion and therefore depend on a residual stock facility or a bulk sale.

5. Pre-sale settlement risk

5.1 Valuation shortfalls at settlement

Settlement risk arises when a buyer's lender values the completed apartment below the contract price and reduces the loan amount accordingly. The buyer must then find the difference in cash, renegotiate, or fail to settle. Of the 1,460 settlements in our sample, 33% were valued below contract price. Where a shortfall occurred, the average shortfall was 4.2% of contract price. Table 2 sets out the outcome by suburb.

Suburb	Settlements sampled	Share with shortfall	Average shortfall
Parramatta	620	32%	4.0%
Westmead	150	38%	4.6%
Rhodes	440	29%	3.8%
Auburn	250	41%	5.0%
Four suburbs	**1,460**	**33%**	**4.2%**

Table 2: Settlement valuation outcomes, July 2025 to June 2026. Four-suburb average shortfall is weighted by the number of shortfall settlements.

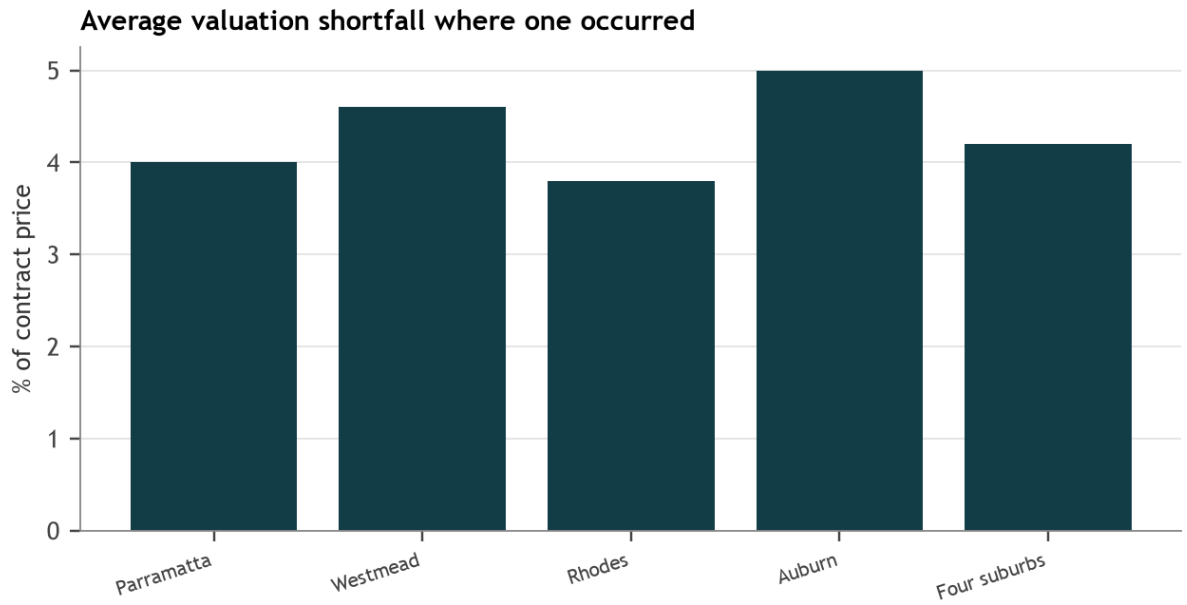


Figure 2: Average valuation shortfall at settlement by suburb. Source: Southerly Economics, mortgage manager and broker valuation records.

5.2 What the shortfall means for the buyer

The effect on the buyer depends on their gearing. A buyer borrowing 80% of the valuation on an A$850,000 contract faces a valuation of about A$814,300 after a 4.2% shortfall. The bank lends A$651,440 rather than the A$680,000 the buyer planned for, leaving a gap of A$28,560, or 3.4% of contract price. A buyer who planned to borrow 90% faces a larger gap, because lenders mortgage insurers and banks typically cap lending to the lower of valuation and price. For most owner-occupiers with a 10% deposit and limited savings, a gap of this size is manageable only with family support or by drawing on other assets.

5.3 Failed and delayed settlements

Among the contracts in our sample that reached the original completion date, 5.4% did not settle on that date for finance-related reasons, and 2.1% were ultimately terminated or defaulted. The remainder were settled after extension, renegotiation of price or buyer refinancing. Default rates were highest in Auburn (3.2%) and Westmead (2.8%) and lowest in Rhodes (1.5%). Resales of defaulted stock have generally been achieved at discounts of 5% to 9% to the original contract price, once agent costs and holding costs are included.

The shortfall is larger for contracts signed in 2022 and 2023 than for those signed in 2025 and 2026. Developers who have repriced new releases at or below current comparable sales have lower exposure. Developers holding older contracts at peak-cycle prices have the highest exposure, and these are the projects that complete over the next 18 months.

5.4 Credit implications

- Pre-sale cover should be tested on a stressed basis. We suggest assuming that 6% of pre-sold contracts fail to settle on time and that the average resale outcome is a 7% discount to contract.
- Contracts signed before 2025 should be reviewed against current comparable sales. Where the contract price exceeds recent comparable evidence by more than 4%, the pre-sale should be given a reduced weighting.
- Sponsors should be required to disclose the proportion of pre-sales held by buyers with deposits of less than 10%, and the proportion held by overseas buyers who may find it harder to refinance.
- Settlement timing matters. A sponsor with a large share of settlements concentrated in one quarter is more exposed to a valuer cohort effect, where several lower valuations in the same building set a weaker benchmark for the rest.

6. Rental market

Rents on two-bedroom apartments in the four suburbs rose 6.8% over the year to June 2026, on a pipeline-weighted basis. Growth was strongest in Auburn (7.4%) and Westmead (7.2%), where rents started from a lower base and vacancy is tight. Parramatta (6.7%) and Rhodes (6.4%) grew more slowly but from higher levels. Table 3 shows current rents, growth and vacancy.

Suburb	Median 2-bed rent (weekly)	Annual rent growth	Vacancy rate
Parramatta	A$690	6.7%	1.4%
Westmead	A$640	7.2%	1.2%
Rhodes	A$720	6.4%	1.6%
Auburn	A$590	7.4%	1.3%

Table 3: Two-bedroom apartment rents, growth and vacancy, year to June 2026

Gross rental yields on new two-bedroom stock are about 3.9% to 4.1%, calculated from the median rents above and the median prices in Table 1. These yields are thin for investors who finance at current interest rates, and the investment case rests on continued rental growth and capital appreciation rather than income. Rental growth of this pace is also unlikely to persist. Our base case is for rent growth to ease to about 4% to 5% over the next 12 months as new supply is delivered, because the completion wave described in Section 8 will add to rental stock in 2027.

Rising rents do help lenders in two ways. They support investor demand for settlement, and they improve the income case for any project or borrower that retains stock for rent. They do not, however, resolve the valuation problem. Bank valuers rely on recent sales evidence, not rents, and the two measures can diverge for extended periods.

7. Build-to-rent yields

BTR has become an important exit for sponsors who cannot achieve acceptable pricing through strata sales. Net initial yields on stabilised BTR assets and comparable institutional apartment blocks in the four suburbs range from 4.6% to 5.0%, based on seven transactions and valuations since January 2025. The range reflects differences in location, building age, amenity and tenant mix. Table 4 shows indicative yields and the BTR share of planned supply by suburb.

Suburb	Net initial yield	BTR apartments planned	Share of suburb pipeline
Parramatta	4.6%	700	16%
Rhodes	4.7%	450	17%
Westmead	4.9%	150	13%
Auburn	5.0%	150	9%
Four suburbs	**4.6% to 5.0%**	**1,450**	**15%**

Table 4: Indicative BTR net initial yields and planned BTR supply by suburb

Yields in Parramatta and Rhodes are lowest because both suburbs offer stronger transport access, deeper tenant demand and more institutional interest. Westmead and Auburn price at a discount to reflect thinner liquidity and a smaller tenant pool at higher rent levels. Valuers have been adopting stabilised yields at the upper end of the range for projects that have not yet completed lease-up, so a lender relying on a BTR exit should assume that the headline yield will not be achieved until the building reaches around 90% occupancy, typically 9 to 15 months after practical completion.

The BTR pipeline is modest relative to the strata pipeline, at about 1,450 apartments or 15% of the 9,800 total. Institutional capital is available for well-located, well-designed buildings with sponsors who have an operating track record, but it is not deep enough to absorb a large volume of stock from sponsors that cannot sell through strata. A BTR exit should therefore be treated as a specific plan with identified buyers or a committed forward-funding partner, not a general fallback.

8. Pipeline and supply

The pipeline of apartments that are approved or under construction in the four suburbs totals 9,800. Of these, 4,100 are under construction and 5,700 are approved but not yet started. Parramatta holds 4,300 apartments, or 44% of the total, followed by Rhodes with 2,600, Auburn with 1,700 and Westmead with 1,200. Table 5 sets out the breakdown.

Suburb	Under construction	Approved, not started	Total pipeline
Parramatta	1,800	2,500	4,300
Rhodes	1,100	1,500	2,600
Auburn	700	1,000	1,700
Westmead	500	700	1,200
Four suburbs	**4,100**	**5,700**	**9,800**

Table 5: Apartment pipeline by suburb and stage, June 2026

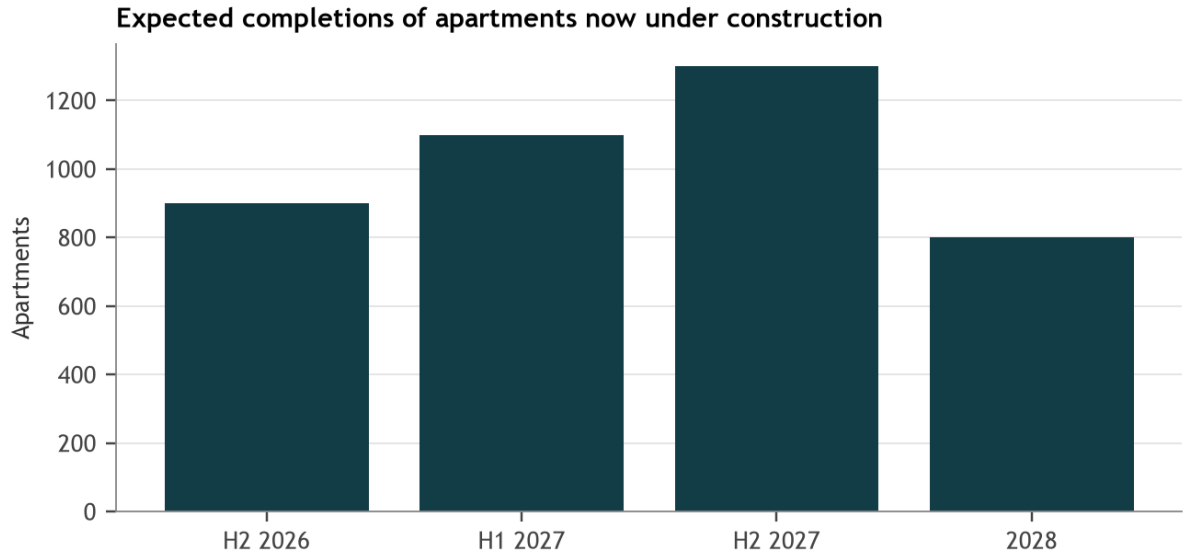


Figure 3: Expected completions of the 4,100 apartments under construction. Source: Southerly Economics site inspections and construction certificates.

Of the 4,100 apartments under construction, we expect 900 to complete in the second half of 2026, 1,100 in the first half of 2027, 1,300 in the second half of 2027 and 800 in 2028. The peak settlement period is therefore the second half of 2027, which coincides with the expected easing of rental growth. At the current sales rate of 4.2 per project per month, and allowing for around 74 live projects, the market is absorbing roughly 3,700 apartments per year. This is sufficient to absorb the 2026 and 2027 completions if sales continue to improve, but leaves little margin for error.

The 5,700 approved but not started apartments are less certain. Many of these projects have been approved for more than two years, and a share will be redesigned, sold or lapse. We assume that about 40% will commence construction within the next 24 months. Lenders should treat the approved pipeline as a risk to future competition, not as a certain supply figure.

9. Implications for lenders

9.1 Where risk is highest

- Projects in Auburn and Westmead with completions in 2027, where average shortfalls are greatest, pre-sales are lowest and the investor share of buyers is highest.
- Projects with a high share of contracts signed in 2022 and 2023 at prices above current comparable sales.
- Projects where the exit relies on a single BTR sale or a bulk sale to a counterparty that has not yet signed.
- Projects in Parramatta and Rhodes where multiple competing buildings will complete within the same two quarters.

9.2 Where risk is better contained

- Projects in Parramatta or Rhodes with strong transport access, pre-sales above 75% and a mix of owner-occupier buyers.
- Projects priced at or below A$900,000 for a two-bedroom unit, which sit within the current depth of demand.
- Projects whose sponsors have a record of settling at contract price, can fund shortfalls from their own resources and hold reserves for price support.
- Projects in which a BTR operator has committed to forward purchase or a debt facility has been put in place against stabilised income.

9.3 Suggested underwriting adjustments

We suggest the following for loans against Western Sydney apartment projects. First, test pre-sale cover after removing contracts that exceed current comparable sales by more than 4%. Second, apply a settlement failure rate of 6% and a resale discount of 7% in the base case, and 10% and 10% in the downside case. Third, require a market valuation of the completed stock that accounts for the number of competing completions in the same suburb within 12 months. Fourth, require the sponsor to hold a contingency for settlement support equal to at least 1% of total sales revenue on projects with more than 40% of pre-sales contracted before 2025.

10. Outlook

Our base case is for continued but moderate improvement in sales, a gradual easing in rental growth and stable BTR yields over the next 12 months. Under this scenario the average shortfall at settlement falls to about 3.5% by mid 2027 as older contracts clear and new releases are priced closer to current evidence. Table 6 sets out three scenarios.

Scenario	Sales rate (per project per month)	Average shortfall	BTR yield range
Base case	4.0 to 4.5	3.5%	4.6% to 5.0%
Upside	5.0 to 5.5	2.5%	4.4% to 4.8%
Downside	2.8 to 3.2	6.0%	5.0% to 5.5%

Table 6: Scenario outlook to mid 2027

The downside scenario would be driven by a rise in unemployment, tighter bank credit policy for apartment buyers or a rise in interest rates that reduces investor demand. In that case, the large volume of completions in the second half of 2027 would be exposed to weaker valuations and higher default rates. The upside scenario depends on stronger first home buyer demand, further falls in borrowing costs and rapid absorption of the BTR pipeline by institutional investors.

We assign probabilities of 55% to the base case, 20% to the upside and 25% to the downside. The skew reflects the volume of supply due in 2027 and the sensitivity of valuations to a small number of comparable sales.

11. Limitations

This report is based on information available to 30 June 2026 and on samples that may not be representative of all projects. The settlement valuation sample covers 1,460 settlements, which is a substantial share of recent activity but not the whole market, and the BTR yield range rests on only seven data points. Figures should be read as indicative. Southerly Economics has not inspected every project referred to, and the report does not constitute a valuation, financial product advice or a recommendation to lend. Quillwood Credit Partners should apply its own credit assessment and obtain independent valuations for any specific transaction.